CASCADIA ANALYTICS

Rubrik, Inc.

Equity Research Note | RBRK | 21 OCTOBER 2026

Cyber Resilience Platform

Rubrik screens as a Hold with a $108.24 blended target, 6% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$114.59	$108.24	-6%	HOLD

Investment Thesis

Cyber Resilience Platform. Data protection repositioned as cyber recovery. $1.66B subscription ARR (+33%) with cloud ARR at 89% of the base and NRR above 119% [10-Q Q2 FY27]. Profitability Inflection. FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53 [8-K FY26][8-K guid]. Rule of 40 is in sight. Fair Price, Not Cheap. At $114.59 [Mkt 17-Oct-26], the DCF base of $105.65 implies 8% downside and the market prices in 36.9% CAGR. It is the cheapest

- Cyber Resilience Platform
- Profitability Inflection
- Fair Price, Not Cheap

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The latest print

Profitability Inflection. FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53. Rule of 40 is in sight.

Fair Price, Not Cheap. At $114.59, the DCF base of $105.65 implies 8% downside and the market prices in 36.9% CAGR. It is the cheapest growth-adjusted name in AI-cyber, but not a bargain.

$1.66B	$427.3M	>119%	3,084	14.0%	$65.7M
SUBSCRIPTION ARR (Q2 FY27)	REVENUE (Q2 FY27)	NET RETENTION RATE	CUSTOMERS $100K+ ARR	ARR CONTRIBUTION MARGIN (TTM)	FREE CASH FLOW (Q2 FY27)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Subscription ARR (Q2 FY27)	$1.66B	+33%	Up
Revenue (Q2 FY27)	$427.3M	+38% (+43% normalized)	Up
Net Retention Rate	>119%	vs >120% prior year	Flat
Customers $100K+ ARR	3,084	+23%	Up
ARR Contribution Margin (TTM)	14.0%	+4.6 pts (from 9.4%)	Up
Free Cash Flow (Q2 FY27)	$65.7M	vs $57.5M prior year	Up
FY2027 Revenue Guide	$1.685-1.693B	+28%	Up
FY2027 FCF Guide	$323-333M	19.4% margin at midpoint	Up

The moat

Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2

The growth engine

Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-35 CAGR	2035 REVENUE	2035 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	15.0%	$5.36B	25.0%	**$74.53**	-35%
Base	50%	17.8%	$6.78B	28.0%	**$105.65**	-8%
Bull	25%	20.5%	$8.53B	30.0%	**$147.11**	+28%

Bear: downside case at $74.53 (-35%).

Base: central case at $105.65 (-8%).

Bull: upside case at $147.11 (+28%).

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The probability-blended target implies 6% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -6% from the $114.59 reference price.

$108.24
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$1.32B**
Valuation horizon	**2026-2035**
Live WACC	**9.30%**
Terminal growth	**3.0%**
Net cash	**$620M**
2035 FCF (Base)	**$2.81B**
10-year Treasury yield	**5.1%**
Beta	**1.14**
Equity risk premium	**3.7%**

HOLD | $108.24 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 36.9%. Verdict vs scenarios

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$0.0B	$28.70	+20%	$0.0B	$62.71	+40%	$0.0B	$127.24
+1%	$0.0B	$29.89	+21%	$0.0B	$65.08	+41%	$0.0B	$131.55
+2%	$0.0B	$31.12	+22%	$0.0B	$67.54	+42%	$0.0B	$135.99
+3%	$0.0B	$32.40	+23%	$0.0B	$70.07	+43%	$0.0B	$140.55
+4%	$0.0B	$33.73	+24%	$0.0B	$72.69	+44%	$0.0B	$145.24
+5%	$0.0B	$35.10	+25%	$0.0B	$75.39	+45%	$0.0B	$150.06
+6%	$0.0B	$36.53	+26%	$0.0B	$78.17	+46%	$0.0B	$155.00
+7%	$0.0B	$38.01	+27%	$0.0B	$81.04	+47%	$0.0B	$160.09
+8%	$0.0B	$39.54	+28%	$0.0B	$84.00	+48%	$0.0B	$165.31
+9%	$0.0B	$41.13	+29%	$0.0B	$87.05	+49%	$0.0B	$170.67
+10%	$0.0B	$42.78	+30%	$0.0B	$90.19	+50%	$0.0B	$176.17
+11%	$0.0B	$44.48	+31%	$0.0B	$93.43	+51%	$0.0B	$181.82
+12%	$0.0B	$46.24	+32%	$0.0B	$96.77	+52%	$0.0B	$187.61
+13%	$0.0B	$48.07	+33%	$0.0B	$100.20	+53%	$0.0B	$193.56
+14%	$0.0B	$49.96	+34%	$0.0B	$103.74	+54%	$0.0B	$199.66
+15%	$0.0B	$51.91	+35%	$0.0B	$107.38	+55%	$0.0B	$205.92
+16%	$0.0B	$53.93	+36%	$0.0B	$111.13	+56%	$0.0B	$212.34
+17%	$0.0B	$56.02	**+37%**	**$0.0B**	**$114.99**	+57%	$0.0B	$218.92
+18%	$0.0B	$58.17	+38%	$0.0B	$118.96	+58%	$0.0B	$225.67
+19%	$0.0B	$60.40	+39%	$0.0B	$123.04			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$18.10B	15.0x	3.0%	$620M	$18.72B	**$74.53**
Base	$25.92B	20.0x	3.0%	$620M	$26.54B	**$105.65**
Bull	$36.34B	25.0x	3.0%	$620M	$36.96B	**$147.11**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031	2032	203
Bear	$81.30	$81.30	$87.09	$92.83	$98.35	$103.46	$107.96	$111.69	$114.4
Base	$115.25	$115.25	$124.18	$133.24	$142.20	$150.80	$158.76	$165.82	$171.7
Bull	$160.48	$160.48	$173.59	$187.10	$200.72	$214.11	$226.90	$238.72	$249.2

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $108.24 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2

Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions

Security products now drive 40% of net retention, up from 32% a year ago

Remaining performance obligations $2.62B, up 29.5% YoY, with 53% to recognize in 12 months

Revenue and margin trend

METRIC	FY24	FY25	FY26	TTM
Revenue	n/a	$886.5M	$1.316B	$1.542B
Gross Margin (non-GAAP)	n/a	77.4%	81.5%	81.0%
Subscription ARR	n/a	n/a	$1.46B	$1.66B
FCF Margin	n/a	3.7%	19.3%	8.8%

Valuation cross-check

P/S ~15x

DCF Base $105.65 vs $114.59 (-8%)

Reverse DCF implies 36.9% CAGR

The model says fair value, not a discount, and the implied growth bar is high.

CRWD ~40x P/S

PANW ~28x P/S

RBRK ~14.5x on ~46% growth

Cheapest growth-adjusted multiple in the AI-cyber set, far below CrowdStrike and Palo Alto on similar or faster growth.

IPO Apr 2024 at $32

52wk range $42.25-$127.90

Short public history; up ~250% from IPO but trading below the $128 recent high after two sell-the-news reactions.

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What to monitor

Dec 2026. Q3 FY27 Earnings (Positive): $429-431M revenue guide implies 31% normalized growth. Test of whether ARR momentum holds as migrations tailwind fades.

FY27. Identity & Agent Cloud Scale (Positive): Identity hit $20M ARR in 3 quarters; Agent Cloud has 15+ paying customers. New product legs are the upside lever.

Jan 2027. FY2028 Outlook (Two-Sided): First full guide after the migration tailwind fully rolls off. Reported revenue growth faces a material-rights headwind.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2023	$600M	$418M	$-262M	$-235M
2024	$628M	$483M	$-307M	$-273M
2025	$887M	$621M	$-1.1B	$-1.1B
2026	$1.3B	$1.1B	$-345M	$-272M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2023	$769M	$1.9B	$-1.1B	$136M
2024	$874M	$2.3B	$-1.4B	$130M
2025	$1.4B	$2.0B	$-554M	$186M
2026	$2.8B	$3.3B	$-520M	$380M

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2023	$19M	$-34M	$172M	$-15M
2024	$-5M	$-20M	$96M	$-25M
2025	$48M	$-27M	$398M	$22M
2026	$283M	$-45M	$737M	$238M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $108.24 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 55 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 2.31% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $43.20M of sales, a net flow of -$43.20M. One-year total shareholder return is +49.1% against CEO total pay of $1.80M (Mr. Bipul Sinha), which the model scores as PERFORMANCE EARNED.

55
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	15 / 40	2.31% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $43.20M (21), net -$43.20M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +49.1%; Mr. Bipul Sinha, Co-Founder, CEO & Chairman, total pay $1.80M
Agency Risk Score	**55 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-07	Nithrakashyap Arvind	Chief Technology Officer	SELL	38,460	$4.78M
2026-10-05	Wassenaar Yvonne	Director	SELL	721	$85.8K
2026-09-10	Nithrakashyap Arvind	Chief Technology Officer	SELL	38,460	$3.49M
2026-09-03	Wassenaar Yvonne	Director	SELL	721	$64.5K
2026-09-01	Thompson John Wendell	Director	SELL	13,500	$1.20M
2026-08-24	Choudary Kiran Kumar	Chief Financial Officer	SELL	10,000	$983.2K
2026-08-05	Nithrakashyap Arvind	Chief Technology Officer	SELL	38,460	$3.05M
2026-08-03	Thompson John Wendell	Director	SELL	13,500	$1.00M

SEC proxy audit, DEF 14A filed 2026-04-15

Alignment grade C. PAY INCREASE (+6.9%). Bipul Sinha, fiscal 2026 vs fiscal 2025; total compensation change year on year: +6.9%.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
$620,000	$0	$609,027	$0

The CEO's compensation rose primarily due to a 7.8% base salary increase and a full target bonus payout, while no equity awards were granted. The Compensation Committee justified the pay hike with market data and a focus on retaining talent, but the lack of equity dilutes alignment with long-term shareholder value. Accountability to TSR remains limited because the CEO's total compensation is largely cash-based.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1943896/000194389626000034/rbrk-20260415.htm

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Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Material-Rights Headwind

CFO flagged that the sharp drop in material-rights revenue is a meaningful headwind to reported revenue growth for FY27.

Migration Tailwind Fading

The legacy-to-cloud migration run is wrapping up this year, which will make cloud net-new ARR comparisons tougher going forward.

Dilution & SBC

Heavy stock-based compensation drove a $1.15B GAAP loss in FY25 and negative equity; share count keeps inflating and diluting holders.

Sell-the-News Pattern

Shares have sold off after multiple beats (Q1 and Q2 FY27), and the stock trades 12% below its 52-week high with elevated beta.

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The strengths

Operating Quality

81% non-GAAP gross margins with net-cash balance sheet ($1.75B cash vs $1.13B converts). NRR above 119% shows real expansion. Offset: still GAAP unprofitable with negative equity and heavy stock-based comp.

Recent Trend

ARR compounding at 33-34% for three straight years. Normalized revenue growth accelerated to 43% in Q2 FY27. FCF swung from $33M to $253M in one year and contribution margin jumped 9.4% to 14.0%. Textbook inflection.

Forward Growth

FY27 guide: 28% revenue and 29% ARR growth with positive non-GAAP EPS. Identity and Agent Cloud are credible new legs. Discount: cloud migration tailwind is wrapping up and material-rights headwinds drag reported growth.

Valuation

DCF base $105.65 sits 8% below the $114.59 price, and the reverse DCF implies a demanding 36.9% CAGR. The offset: at ~14.5x sales on ~46% growth, it is the cheapest growth-adjusted multiple in the AI-cyber peer set.

Cascadia scorecard

Composite score 69: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	81% non-GAAP gross margins with net-cash balance sheet ($1.75B cash vs $1.13B converts). NRR above 119% shows real expansion. Offset: still GAAP unprofitable with negative equity and heavy stock-based comp.	74
Recent Trend	ARR compounding at 33-34% for three straight years. Normalized revenue growth accelerated to 43% in Q2 FY27. FCF swung from $33M to $253M in one year and contribution margin jumped 9.4% to 14.0%. Textbook inflection.	82
Forward Growth	FY27 guide: 28% revenue and 29% ARR growth with positive non-GAAP EPS. Identity and Agent Cloud are credible new legs. Discount: cloud migration tailwind is wrapping up and material-rights headwinds drag reported growth.	76
Valuation	DCF base $105.65 sits 8% below the $114.59 price, and the reverse DCF implies a demanding 36.9% CAGR. The offset: at ~14.5x sales on ~46% growth, it is the cheapest growth-adjusted multiple in the AI-cyber peer set.	52
Catalysts & Risk	Q3 print in December and Identity/Agent Cloud scaling are near-term positives. Risks: sell-the-news after beats, 27% share-count inflation from SBC, and the migration comp gets harder. Slight positive skew.	62

Investment view

A Q3 FY27 miss on ARR or NRR slipping below 115% would cut Trend and Forward Growth. Conversely, Identity and Agent Cloud scaling faster than expected could make the bull case ($147.11) reachable.

Investment view: Hold. The $108.24 blended target implies -6%, balancing the $74.53 / $105.65 / $147.11 Bear / Base / Bull outcomes.

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